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AI



**Trump's AI Action Plan
aims to block chip
exports to China but
lacks key details**



The Trump administration wants its AI technology to be considered an industry leader both on home soil and abroad. But it also doesn't want the U.S.'s AI prowess to empower or embolden a foreign adversary.

That's quite the balance to strike.

If President Trump's [AI Action Plan](#), which was released on Wednesday, is any indicator, it seems the administration is still figuring out the right course of action to achieve those goals.

"America currently is the global leader on data center construction, computing hardware performance, and models," the plan stated. "It is imperative that the United States leverage this advantage into an enduring global alliance, while preventing our adversaries from free-riding on our innovation and investment."

The plan mentions strengthening AI chip export controls through "creative approaches" followed by a pair of policy recommendations.

The first calls on government organizations, including the Department of Commerce and National Security Council, to work with the AI industry on chip location verification features. The second is a recommendation to establish an effort to figure out enforcement for potential chip export restrictions; notably, it mentions that while the U.S.

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and allies impose export controls on major systems required for chip manufacturing, there isn't a focus on many of the component subsystems — a hint at where the administration wants the DOC to direct its attention.

The AI Action plan also talks about how the U.S. will need to find alignment in this area with its global allies.

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“America must impose strong export controls on sensitive technologies,” the plan states. “We should encourage partners and allies to follow U.S. controls, and not backfill. If they do, America should use tools such as the Foreign Direct Product Rule and secondary tariffs to achieve greater international alignment.”

The AI Action plan never gets into detail on exactly how it will achieve AI global alliances, coordinate with allies on export chip restrictions, or work with U.S.-based AI companies on chip location verification features. Instead, the AI Action plans

lay out what foundational building blocks are required for future sustainable AI chip export guidelines, as opposed to policies implemented on top of existing guidelines.

The upshot: Chip export restrictions are going to take more time. And there's ample evidence, beyond the AI Action plan, to suggest it will. For instance, the Trump administration has contradicted itself multiple times on its export restriction strategy in the past few months — including just last week.

In July, the administration gave semiconductor firms, like Nvidia and AMD, [the green light to start selling AI chips](#) they had developed for China, just months after rolling out [licensing restrictions on the same AI chips](#) that effectively pulled Nvidia out of the Chinese market.

The administration also formally rescinded the Biden administration's [AI diffusion rule](#) (which put a cap on how much AI computing capacity some countries were allowed to buy) in May, just days before it was supposed to go into effect.

The Trump administration is expected to sign multiple executive orders on July 23. Whether these will contain detailed plans on how it will reach its goals is unclear.

While the AI Action Plan talks at length about figuring out how to expand the U.S. AI market globally, while maintaining dominance, it's light on the specifics. Any executive order regarding chip export restrictions will likely be about getting the proper government departments together to figure out a path forward, as opposed to formal guidelines, quite yet.

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Nvidia’s H20 AI chips may be spared from export controls — for now

Rebecca Szkutak — 2:07 PM PDT · April 9, 2025

Nvidia CEO Jensen Huang [appears to have struck a deal with the Trump administration](#) to avoid export restrictions on the company's H20 AI chips.

The H20, the most advanced Nvidia-produced AI chip that can still be exported from the U.S. to China, was reportedly spared thanks to a promise from Huang to invest in new AI data centers in the U.S. [According to NPR](#), Huang made the proposal during a dinner at Trump's Mar-a-Lago resort sometime last week.

Nvidia declined to comment.

Many in the semiconductor industry feared H20s, which are modified to have lower performance than other Nvidia chips, were headed for restrictions because they were reportedly one of the chips [China-based DeepSeek used to train its R1 open AI model](#). Released in January, R1 made headlines for its strong performance relative to models from U.S.-based AI labs, including OpenAI.

Senators from both sides of the aisle [have called for restrictions on the H20](#). Even the Trump administration was said to have been preparing H20 export controls prior to its reversal in course, according to NPR.

While it isn't totally surprising that Trump allegedly agreed to shelve some potential chip restrictions in exchange for a commitment from Nvidia to invest in U.S. AI infrastructure, allowing Nvidia to continue exporting H20s to China would appear to counter the administration's goal of securing U.S. dominance in AI.

Making the move even more perplexing is the Trump administration's decision to keep in place the [set of AI chip export](#) rules introduced by outgoing President Joe Biden in January. Those rules layer chip export limits on nearly every

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country outside the U.S. — including U.S. allies — with harsher restrictions on China and Russia.



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Nvidia has called those guidelines “unprecedented and misguided” and said that they’re likely to stifle global innovation.

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Trump administration officially rescinds Biden’s AI diffusion rules

After a [week or so of rumors](#), the U.S. Department of Commerce (DOC) formally rescinded the Biden administration's Artificial Intelligence Diffusion Rule days before it was set to go into effect.

The Artificial Intelligence Diffusion Rule, which was [introduced by former president Joe Biden in January](#) and set to come into force on May 15, introduced limits on exporting U.S.-made AI chips to many countries for the first time while bolstering existing restrictions.

On Tuesday, the DOC [announced](#) that it instructed staff not to enforce the Biden-era regulation. The DOC plans to issue a replacement rule in the future, likely focusing on direct negotiations with countries as opposed to blanket restrictions, according to [reporting from Bloomberg](#).

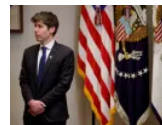
Biden's proposed rule divided the world's countries into three tiers, with each tier having its own level of restrictions. Tier 1 countries, like Japan and South Korea, would have continued to face no export restrictions; Tier 2 regions, which included countries like Mexico and Portugal, would have seen chip export limits for the first time; and Tier 3 countries, like China and Russia, would have had to contend with tightened controls.

In lieu of new regulations, the DOC on Tuesday released some guidance for the industry. It reminded companies that using Huawei's Ascend AI chips anywhere in the world violates U.S. export rules, warned about the potential consequences of

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IMAGE CREDITS: BLACKJACK3D / GETTY IMAGES

letting U.S. AI chips be used to train AI models in China, and recommended ways to protect chip supply chains from diversion tactics.

“The Trump Administration will pursue a bold, inclusive strategy to American AI technology with trusted foreign countries around the world, while keeping the technology out of the hands of our adversaries,” U.S. Secretary of Commerce for Industry and Security Jeffrey Kessler said in a statement. “At the same time, we reject the Biden Administration’s attempt to impose its own ill-conceived and counterproductive AI policies on the American people.”

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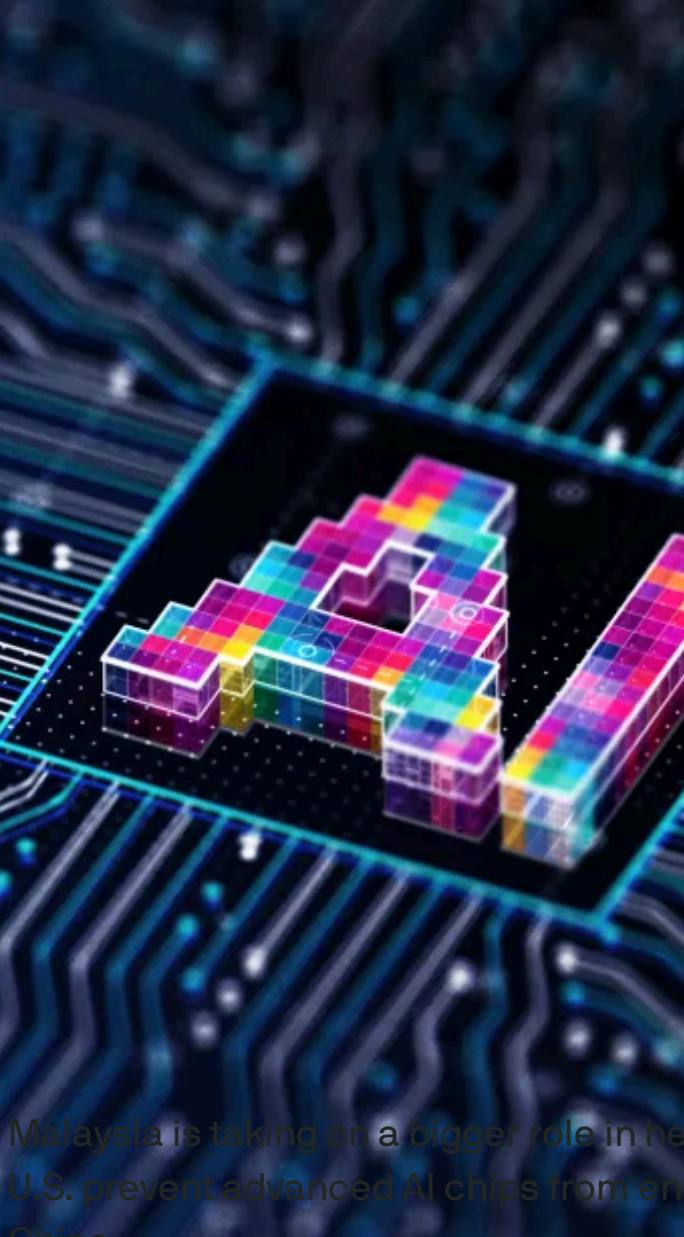
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Malaysia will require trade permits for US AI chips

Rebecca Szkutak — 10:37 AM PDT · July 14, 2025



Malaysia is taking on a bigger role in helping the U.S. prevent advanced AI chips from ending up in China.

IMAGE CREDITS: BLACKJACK3D / GETTY IMAGES

The Malaysian Ministry of Investment, Trade and Industry announced new restrictions on exporting AI chips of U.S. origin out of its country on Monday. Individuals and companies are now required to notify Malaysian authorities at least 30 days in advance when they are exporting or transshipping U.S. AI chips, effective immediately.

“Malaysia stands firm against any attempt to circumvent export controls or engage in illicit trade activities by any individual or company, who will face strict legal action if found violating the STA 2010 or related laws,” the Ministry wrote in a [press release](#).

Alleged chip smuggling of U.S. AI chips into China has come up multiple times in recent months.

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Anthropic claimed that China already had sophisticated chip-smuggling networks set up in a [blog post](#) in April. The post also claimed that smugglers were going to extreme lengths to bring AI chips into China, including using prosthetic baby bumps filled with chips, and that smugglers were shipping GPUs alongside live lobsters.

Anthropic's April blog post was written in [favor of the U.S. imposing more AI chip export rules](#) to prevent this type of smuggling. Those restrictions are likely arriving in the near future.

Last week, [Bloomberg reported](#) that the Trump administration was planning to further restrict the export of AI chips, from companies like Nvidia, to Malaysia and Thailand, to prevent China from accessing these AI chips through a different mode of entry. The Trump administration has not made an official announcement regarding this yet.

The U.S. Department of Commerce is also working on its own set of general U.S. AI chip export restrictions after [formally rescinding the Biden administration's AI Diffusion rules](#) in May.

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